

Sitting, waiting, wishing... for energy flows to resume

Energy markets remain extremely sensitive to developments in the Middle East, showing the significance of the supply disruptions we are witnessing. However, there have been several factors that have helped to take some pressure off prices



With no imminent peace deal in sight, stalled Hormuz flows continue to hold Brent above \$100/bbl

Falling Chinese imports and rising US exports offer relief to oil markets

It has been another volatile month in energy markets, with oil prices being whipsawed by Iran-related headlines. Cold water has been thrown over optimism for an imminent peace deal, after President Trump rejected Iran's counterproposal peace plan. And as a result, any hopes for a quick resumption in energy flows through the Strait of Hormuz have also faded, which has seen Brent trade convincingly back above \$100/bbl.

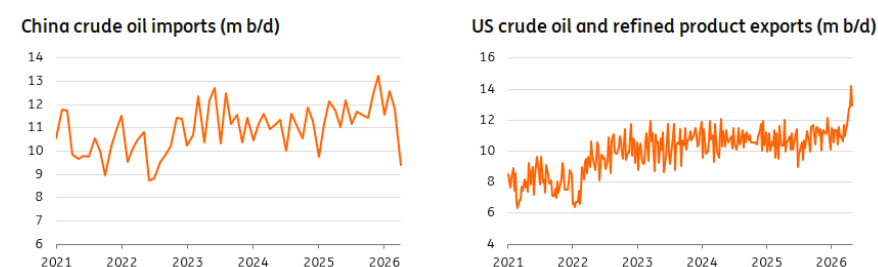
However, with the oil market facing a supply disruption of around 13m b/d, one may be surprised that we are not seeing much higher prices. There is an element of the market still clinging to some optimism that energy flows may start picking up. However, there are some fundamental factors that have also helped. Chinese oil imports have fallen significantly, while US oil exports hit record

levels consistently in April, which has helped to take some of the upward pressure off the market. But these are temporary solutions. China will be relying on inventory as imports fall, while similarly the growth in US exports is fed by inventory rather than supply growth.

Another element which has contained the market is that we have already started to see demand destruction in the oil market. Crude oil prices have not had to go as high as many would imagine to drive this decline in demand. This can be largely attributed to the relative strength seen in refined product prices (gasoline, diesel, jet fuel), reflected by the widening in refined product margins. The significant strength in refined product prices has meant that crude oil prices have not had to go as high to ensure demand destruction.

While there is still plenty of uncertainty over how the situation plays out, we are assuming some recovery in oil flows in the remainder of the second quarter, allowing for nearer to normal flows in the third quarter. Under this scenario, Brent averages \$104/bbl in 2Q26 and US\$92/bbl in 4Q26. Clearly, though, every day that goes by without a resolution pushes the market towards a much more aggressive scenario.

Chinese oil imports fall while US oil exports surge amid Persian Gulf supply disruptions



Source: China Customs, EIA, ING Research

Demand destruction keeps the gas market in check... for now

While European gas prices are trading above pre-Iran war levels, they have come off significantly from their peak following the start of the war. We believe that gas markets are underpricing the scale of the supply disruption. The gas market has less of a buffer to weather supply shocks, while there is little in the way of alternative routes for Persian Gulf LNG to move to its destination, other than going through the Strait of Hormuz. While ship tracking data shows that Qatar has shipped its first two LNG cargoes since the start of the war, this falls far short of normal flows.

There is not enough slack in the LNG market to offset these supply losses, so the market will have to rely on inventory and demand destruction to try to balance, which is what we have been seeing. In Asia, gas-to-coal switching is occurring within the power sector, while industrial demand is also coming under pressure. Meanwhile, relying on inventories means that buyers will have to come back to the market at a later stage to restock. The big upside risk for the market is if this restocking has to happen before energy flows through the Strait of Hormuz resume.

If we see Asian buyers coming into the spot LNG market to refill inventory/offset disrupted contracted volumes, this will increase competition between Europe and Asia for cargoes, which would push prices higher.

Gas storage in the EU is relatively tight, at 35% full compared to a five-year average of 48%. This will make the job of refilling storage tougher, especially as the TTF forward curve – currently in backwardation – does not incentivise storage. More flexibility in EU storage targets helps to take some pressure off the market heading into the 2026/27 winter. However, going into the winter with 75% full storage (which is the minimum allowed under extreme conditions) would leave the European market more vulnerable through the winter and risk higher prices.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

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Higher core inflation lifts Poland's CPI in April

Headline and core inflation in Poland are rising faster than in the region, which may be a concern for the central bank. The increase in prices in April reflects a combination of factors, not only those related to the energy shock. We believe the market will continue to bet on rate hikes, but the scale of tightening is likely to be lower than what's priced in



Shoppers in Poland

Not only energy-related increases in prices

Statistics Poland (GUS) confirmed the preliminary estimate of April inflation at 3.2% year-on-year. Compared to March, prices rose by 0.6%. Our earlier estimates have been confirmed: the increase in inflation relative to March was driven primarily by core inflation, which according to our latest calculations, reached 3.0% YoY, up from 2.7% YoY in March. May is likely to bring a further increase in this category, particularly given the low base from May 2025.

Detailed April data suggests that some price increases were linked to the Middle East war and the

energy shock it triggered. Compared with March, airfares rose sharply, both for domestic flights (over 30%) and international routes (over 60%). The war, affecting trade routes and energy prices in Asia, is also dampening deflationary trends in other categories such as furniture and clothing. That said, price changes in categories such as clothing and footwear remain relatively modest.

Other price increases are unrelated to the war and the energy shock. Charges other than energy related to housing maintenance have risen, including waste collection, water supply and sewerage services. Prices have also increased in the “information and communication” category, including recording media and fees for downloading audiovisual content and streaming, which may be linked to the upcoming reprographic levy added to the prices of audiovisual devices and streaming services.

At the same time, upward pressure remains moderate in categories such as package holidays, which may suggest softer demand and adjustments in consumer behaviour (e.g. a shift towards independently organised domestic trips).

Further inflation increases ahead

Considering the prolonged disruption in the Strait of Hormuz and the lack of progress in negotiations between Washington and Tehran, further increases in inflation appear inevitable. Oil prices remain elevated (above US\$100bbl), which has already pushed up fuel prices and directly related services (such as air travel). In the medium term, upside risks to food prices are also increasing. While some market segments currently experience excess supply (including potatoes, dairy and cereals), a dry spring and rising fertiliser prices may lead to faster price growth in the second half of the year and into next year.

Data supports wait-and-see policy stance but markets do their own thing

The latest price data shows that inflation in Poland is rising faster than in the region, affecting not only headline CPI but also core inflation. Some increases are directly or indirectly linked to the energy shock, while others are not. The former include fuels, air fares and diminishing deflationary pressures in household equipment and clothing. The latter are related to non-energy housing maintenance costs and charges for electronic equipment and streaming services. At the same time, the data indicates a slowdown in economic growth – to 3.4% YoY in 1Q26 from 4.1% YoY in 4Q25). For the Monetary Policy Council, this means the wait-and-see approach is justifiable for now.

Investors seem to be concerned that the inflationary outlook might deteriorate further and are betting on three rate hikes this year. While we generally agree on a further increase in inflation and our 3.5% inflation forecast for 2026 is above market consensus, we think the central bank will be cautious given the source of inflationary pressure (supply-side shock). Unsurprisingly, the National Bank of Poland's governor presented a slightly more hawkish tone at the May press conference, but policymakers do not seem to be ready for a decisive monetary policy tightening.

We expect a more lively discussion regarding the potential need for interest rate increases once the Council has reviewed the July macroeconomic projection. Our baseline scenario assumes that interest rates will remain unchanged in 2026. However, if the disruption in Hormuz persists beyond the end of June, the risk of rate hikes would increase (25–50bp). Such a decision would probably

require signs of broader inflation spillovers, second-round effects, and rising inflation expectations. For now, this scenario remains a distant prospect, but markets will continue to bet on rate hikes until developments in the Persian Gulf normalise.

Author

Rafal Benecki

Chief Economist, Poland

rafal.benecki@ing.pl

Adam Antoniuk

Senior Economist, Poland

adam.antoniuk@ing.pl

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Two anniversaries, one uncomfortable mirror

May 2026 marks two milestones: Friedrich Merz becoming Germany's chancellor and ECB President Christine Lagarde announcing Europe's 'global euro moment'. Let's be honest, 12 months on and the optics aren't good



May 2026 comes with two anniversaries, and neither looks particularly flattering in the rear-view mirror. One year ago, Friedrich Merz became Germany's chancellor, confirmed by parliament on the second attempt. An inauspicious start that in hindsight foreshadowed much of what followed. And one year ago, ECB President Christine Lagarde stood in Berlin and declared that the fracturing global order had created Europe's "global euro moment": a rare chance to step up, earn influence, and reshape the international monetary system in Europe's favour. Twelve months on, let's be honest: the optics are not good.

The global backdrop has deteriorated. The war in the Middle East has escalated, the Strait of Hormuz has remained closed for far longer than we and most others anticipated when the conflict began, and energy prices are surging in ways that featured in few base cases a year ago. US tariffs remain a threat to European exports, and global trade flows are being rewired around geopolitical fault lines rather than comparative advantage. Our new base case has brought another downward

revision to eurozone growth, and not only there. On inflation, we maintain our view that the current wave will prove largely transitory with only a marginal impact on core inflation across regions. But any more substantial supply chain disruption would risk more persistent knock-on effects, and we are not yet out of those woods.

Delivering on the promises made a year ago was always going to be harder in a turbulent world. But the gap between ambition and tangible results has opened a second layer of discomfort. Populist parties now lead polls simultaneously in Europe's three largest economies, Germany, France and Italy. In Germany, the party Merz explicitly set out to shrink has overtaken him in the polls. Many of these parties hold foreign policy instincts that sit awkwardly with deeper European integration, more joint borrowing, and a stronger strategic role for the EU on the world stage. The political conditions for Europe's great leap forward have rarely been less favourable.

And yet – to borrow from Monty Python's *Life of Brian* – what has Europe ever done for us? Well, over the last 12 months: the Savings and Investment Union, launched in March 2025. A securitisation reform. A market integration and supervision package. Updated payment services rules. A Savings and Investment Accounts recommendation. EIB defence investment tripled. EU defence spending is up 36% since 2022. A joint letter from Europe's six largest economies demanding capital markets agreement by the summer. A European Council calling for acceleration.

Quite a lot, as it turns out. The problem is that doing things and changing things are not the same. Lagarde's central diagnosis remains unanswered: €8 trillion in European household savings sit in low-yield bank deposits, unproductive and under-deployed. Capital markets remain fragmented. The home bias is structural. Progress is real, but the gap between the legislative pipeline and lived economic reality remains wide.

Europe's "global euro moment" is still waiting to be earned. The more useful question, perhaps, is not what the Romans have done for us but what we are still willing to do for them. The window is open. What happens next is a choice.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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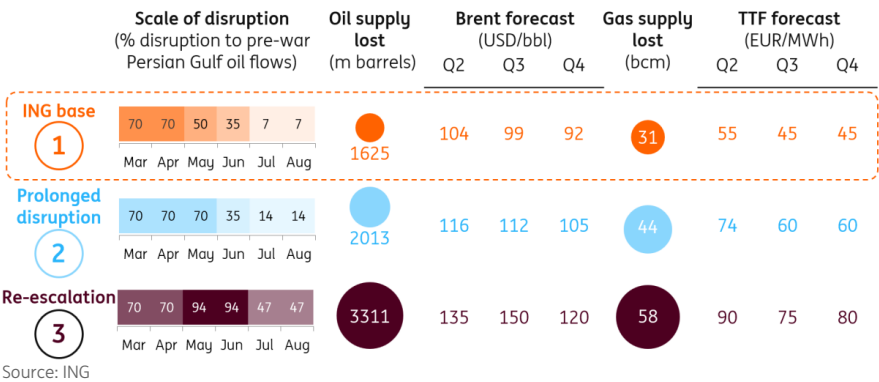
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In charts: Three scenarios for energy, macro and markets

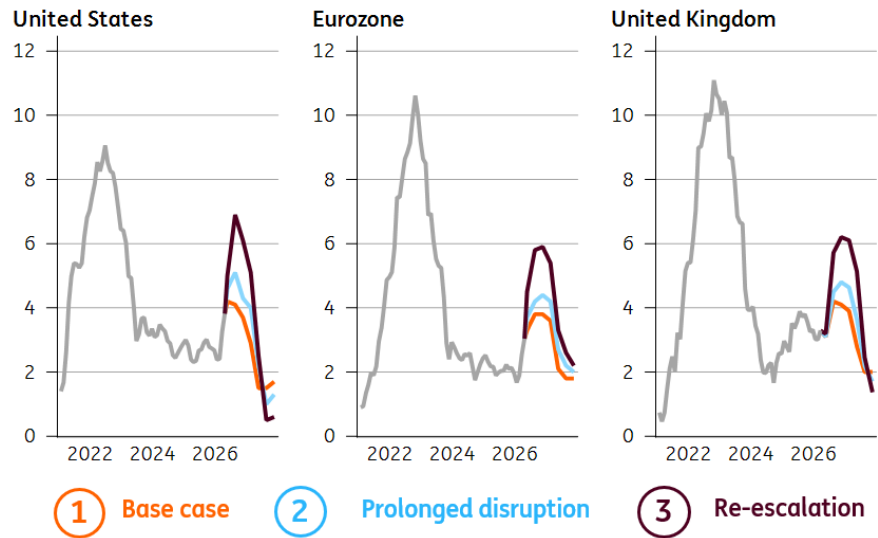
How the Middle East conflict could play out across oil and gas markets, plus inflation, central banks and FX



Three scenarios for energy prices

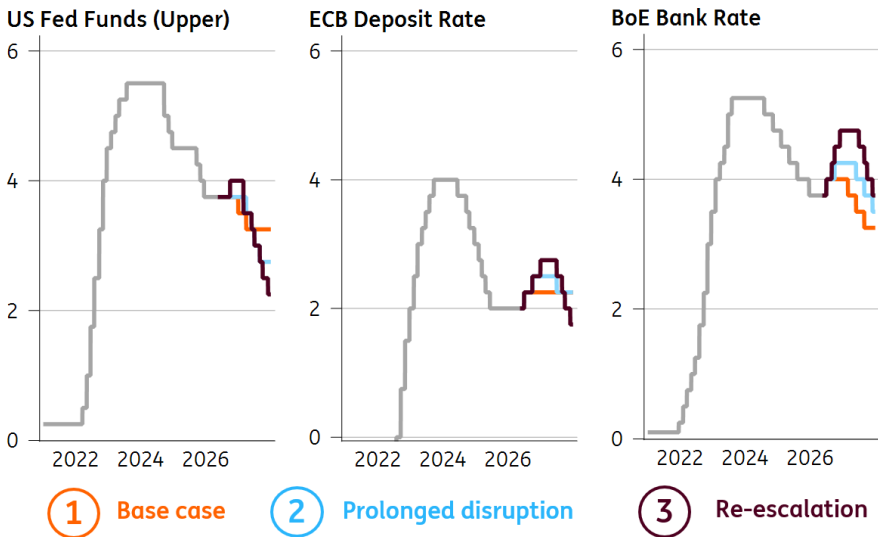


Three scenarios for inflation



Source: ING

Three scenarios for central banks



Source: ING

Three scenarios for markets

	14 May	① Base case			② Prolonged disruption			③ Re-escalation		
		Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	105	104	99	92	116	112	105	135	150	120
Dutch TTF gas (EUR/MWh)	48	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	3.8%	4.2	4.1	3.7	4.6	5.1	4.3	5.0	6.9	6.1
Eurozone Inflation (YoY%)	3.0%	3.3	3.8	3.8	3.7	4.2	4.4	4.5	5.8	5.9
ECB Deposit Rate (%)	2.00	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.75	3.75	3.50	3.75	3.75	3.75	3.75	4.00	4.00
2Y EUR swap rate (%)	2.85	2.75	2.65	2.55	3.00	3.00	2.70	3.20	3.10	2.80
10Y EUR swap rate (%)	3.08	3.10	3.00	3.00	3.15	3.05	3.00	3.35	3.30	3.00
2Y USD swap rate (%)	3.82	3.65	3.40	3.30	4.00	3.60	3.40	4.00	3.75	3.70
10Y USD swap rate (%)	4.03	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.17	1.18	1.20	1.15	1.16	1.17	1.12	1.10	1.12

Source: ING

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

James Knightley

Chief International Economist, US

james.knightley@ing.com

Peter Vanden Houte

Chief Economist, Belgium, Luxembourg, Eurozone

peter.vandenhoute@ing.com

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

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Our latest views on the major central banks

Our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England and the Bank of Japan over the coming months



These are difficult times for global central banks

Federal Reserve

Kevin Warsh is taking over a Federal Reserve that is increasingly divided after three members “did not support the inclusion of an easing bias” in the April FOMC statement, while Stephen Miran again voted for a 25bp interest rate cut. Jerome Powell’s decision to remain on the Board of the FOMC, given his term as governor doesn’t expire until January 2028, adds an extra element of intrigue and means that Stephen Miran will need to step down from his interim position to make way for Warsh.

The prospect of headline inflation above 4% this summer and the recent improvement in jobs numbers suggest an extended pause from the Federal Reserve. We don’t expect to see broad and persistent inflation though, given the lack of demand impetus and the weakness in wage growth. We see a period of prolonged elevated fuel costs as being demand destructive, which will result in a return to cooler job numbers later in the year. Lower fuel costs in 2027 create the potential for sub 2% inflation next year.

We still see the potential for the Fed to move the policy rates down towards neutral, but three months later than we previously forecast. We are now forecasting 25bp policy rate cuts at the

December 2006 and March 2027 meetings.

European Central Bank

Signals after the ECB's April meeting have been very clear: a rate hike in June is clearly in the making. In fact, it would probably need another sharp deterioration of economic sentiment for the ECB not to hike. Even if the war in the Middle East ends tomorrow, the damage to inflation has already been done. Inflation has started and will continue to hit the eurozone economy. The key question is whether this will remain a 'transitory' shock, or whether supply chain disruptions could lead to wider knock on effects beyond transportation and food inflation.

At the same time, the big unknown for inflation and the ECB is fiscal stimulus. Having been relatively muted in the eurozone so far, a significant stepping up of government efforts to cap energy prices or to offset purchasing power losses would not only fuel the inflationary pressures, but also put more pressure on the ECB.

For now, we only see one insurance rate hike in June, to demonstrate the central bank's willingness and determination to keep inflationary expectations anchored. More rate hikes are not our base case, as it's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

Bank of England

We're leaning towards a one-and-done rate hike in June, but it remains a close call. The BoE seems less sold on the need to tighten policy, given that, before the war in Iran, it was poised to cut rates at least twice this year. In what the Bank is characterising as an "active hold", it has argued that simply not cutting amounts to de facto tightening.

Still, it feels to us that if the crisis hasn't shown much sign of improvement by the June meeting, then a hike is likely. But we're not convinced the three rate hikes priced by financial markets will be delivered this year. Politics is a risk, though not one that we think will affect the BoE outlook before the fourth quarter, if at all. The jobs market is weak. And the risk of second-round effects is considerably reduced compared to four years ago.

Bank of Japan

The Bank of Japan's hesitation over rate hikes is unlikely to persist. We expect a 25bp hike in June as the board acknowledged that inflationary pressures may intensify, resulting from the supply disruption and current loose monetary conditions, if the BoJ doesn't respond appropriately. The Middle East situation continues to pose risks to our call. But the April meeting summary indicates a more hawkish stance than in March and shows discussions among board members centred on the timing of hikes.

There were already three dissenting votes in April while some members believed a rate hike is needed soon to avoid economic harm and further inflation. We believe that the recent weakness in Japanese government bonds and the Japanese yen reflects concerns that the BoJ may be lagging behind current economic developments. With steady wage growth, we expect inflation pressure to broaden and firm up more in the second half of the year. Thus, the BoJ is likely to deliver another hike in the fourth quarter.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Min Joo Kang

Senior Economist, South Korea and Japan

min.joo.kang@ing.com

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Rising inflation signals June rate hike in the eurozone

The eurozone economy is rapidly losing momentum, while headline inflation is climbing towards 4%. With inflationary expectations now also picking up, the European Central Bank is likely to raise interest rates in June



ECB President Christine Lagarde

Subdued growth in the first quarter...

According to provisional data, the eurozone grew by a disappointing 0.1% in the first quarter, though the erratic Irish GDP data shaved off nearly 0.1pp from the growth rate. Meanwhile, the first hard data for March shows that the quarter ended on a weak note, hardly surprising given the events in the Middle East.

Retail sales fell 0.1% in March, after a 0.3% decline in February. In the ECB's bank lending survey, banks reported a slight net decrease in loan demand for firms in the first quarter of 2026, mainly driven by a decrease in demand for fixed investment.

...and the second started on a weak footing

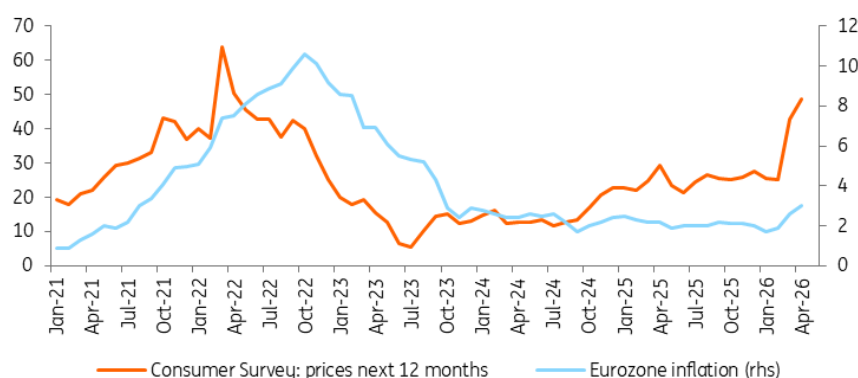
Survey indicators for April show a further loss of momentum, with the PMI below the neutral

threshold of 50, indicating a contraction in private sector activity. This weakness was primarily driven by services, while manufacturing remained somewhat more resilient, albeit partly supported by inventory building rather than underlying demand.

The fear of supply chain disruption has pushed industrial companies to increase their stock of crucial inputs, which has generated more activity in the intermediate goods-producing sectors. But this is likely to bring only temporary growth support.

We continue to expect eurozone GDP to come close to a standstill in the second quarter and only begin to recover gradually after the summer. We have therefore kept our growth forecast unchanged at 0.7% for 2026 and 1.3% for 2027.

Inflation expectations are rising



Source: LSEG Datastream

Inflation hits 3%

The flash estimate for April showed headline HICP inflation rising to 3.0% year on year, up from 2.6% in March. This increase was largely driven by a sharp acceleration in energy prices. Core inflation eased marginally to 2.2%, though the timing of the Easter holidays might have distorted the figure.

Selling price expectations have surged both in the PMI and the European Commission's business surveys. That said, with final demand weaker than in 2022, we don't see these higher selling price expectations fully materialising in reality. We still expect inflation to increase to close to 4% in the coming months, yielding an average inflation rate of 3.3% for the year. With energy prices likely to be lower again in 2027, headline inflation should fall back to 2.3% next year.

Rate hike in June

Even though ECB President Christine Lagarde doesn't like the word, the eurozone is facing a stagflation like environment, albeit still mild at this stage. Inflation expectations are picking up: the three-year-ahead consumer inflation expectation climbed to 3% in March from 2.5% in February.

In the April press conference, Lagarde stated that in June there would be enough data to make an informed decision. She also said that the fact that in the baseline scenario the market anticipated two rate hikes means that the ECB's reaction function is well understood.

The bottom line is that a rate hike in June is very likely and that a second one in September cannot be ruled out. That said, three rate hikes this year still seems a bridge too far to us.

Author

Peter Vanden Houte

Chief Economist, Belgium, Luxembourg, Eurozone

peter.vandenhoute@ing.com

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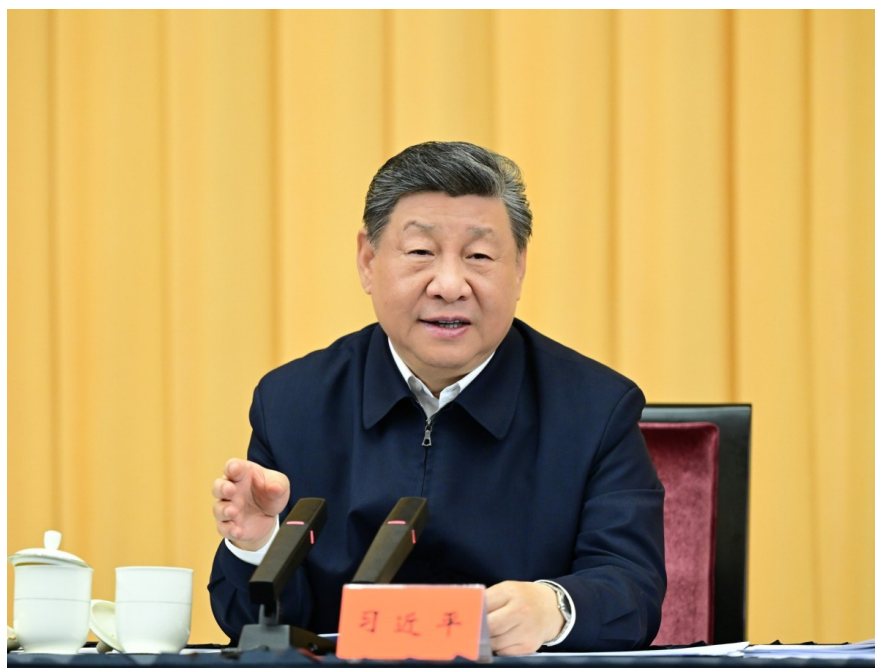
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Stronger growth and reflation ease pressure for stimulus in China

China is faring relatively well despite the Iran war, as the reflation trend gains momentum. We probably haven't yet seen the full impact of higher energy prices. This combination of higher-than-expected growth and inflation will limit policymakers' urgency for new stimulus



Chinese President Xi Jinping ahead of this week's high-stakes summit with US President Trump

'Constructive strategic stability' to guide US-China ties after Trump's first Beijing trip since 2017

President Trump's long-awaited trip to Beijing largely played out as expected, with some positive developments on the economic side but no real breakthrough on geopolitical issues. A Chinese foreign ministry readout noted that Presidents Xi and Trump agreed to establish "China-US constructive strategic stability" to guide the next three years of relations. It holds the potential to expand cooperation on the economy and trade, health, agriculture, tourism, culture, and law enforcement. Earlier announced measures included China agreeing to renew beef import licences and resume Boeing aeroplane imports. We expect there to be additional announcements unveiled moving forward. But even without any groundbreaking deals, China's trade with the US is expected

to show signs of recovery in the months ahead. We saw in the April trade data that China's exports to the US bounced back to 11.3% year-on-year, after falling by 16.4% in the first quarter.

The media and market focus was on the geopolitics side leading up to the summit, especially watching for any potential developments on Iran and Taiwan. No major breakthroughs were expected given the positions of both sides were well known heading into the meetings. China reiterated Taiwan as its core issue, while the US focus was on developments in Iran. We're unlikely to see any major formal announcements of progress on these issues. But actions speak louder than words. If we see any signs of progress in Iran negotiations or the planned Taiwan arms sales in the days ahead, it would likely suggest these discussions bore fruit.

Reflation trend is gaining steam

China's April inflation data surprised on the upside, indicating strengthening reflation momentum. Both PPI and non-food inflation hit 45-month highs in April. We suspect the impact of higher energy prices is yet to fully materialise. As input costs rise, we expect at least part of this to be passed on to consumers.

Reflation will be a mixed bag. In the near term, rising prices should be a drag on activity, as they could translate into slower consumption and thinner corporate margins. Meanwhile, a higher GDP deflator will reduce this year's growth figures. It's important for China to firmly exit the deflationary mindset that had set in over the previous years. This could actually improve the outlook over the medium term and encourage investment and consumption rather than further saving.

Limited signs of urgency for new stimulus

China's April Politburo meeting ended without major policy announcements, with policymakers acknowledging a good start to the year but a need to consolidate the economic recovery.

On the fiscal side, the focus appears to be on accelerating the rollout of existing policy announcements rather than pushing out new measures for now.

The monetary policy tone suggests that rate cuts are conditional. With liquidity still ample, it looks increasingly likely that any potential easing won't take place until the second half of the year.

Without new stimulus, we could return to last year's trajectory, where a solid start is followed by slower momentum as the months progress. This could be particularly true this year, as the economic impact of the Iran war begins to manifest in the data.

We slightly revised our 2026 full-year GDP forecast up to 4.7% YoY last month after the stronger-than-expected 1Q26 GDP read, with risks broadly balanced at this juncture.

Author

Lynn Song

Chief Economist, Greater China

lynn.song@ing.com

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Energy shock drives broader inflation in Belgium - a warning sign for Europe

April's inflation jump in Belgium is no longer "just energy". It's starting to look broader. If this were to be seen across the eurozone, the European Central Bank would need to act or risk falling behind the curve again



2022 all over again?

For a central bank, a stagflation shock is a policy nightmare. Hiking rates won't lower oil prices, so it barely touches the root cause of inflation. Worse, higher rates would hit demand that is already squeezed by lost purchasing power. Yet if demand holds up, firms can pass costs on, and inflation broadens. That's exactly what happened in 2021–2022: what looked like a temporary energy spike became the strongest inflation surge since the 1970s, helped by post Covid pent up demand. The question is: are we heading down that path again?

A quick, sharp shock

Central banks, therefore, need to track prices closely to see whether the energy shock stays

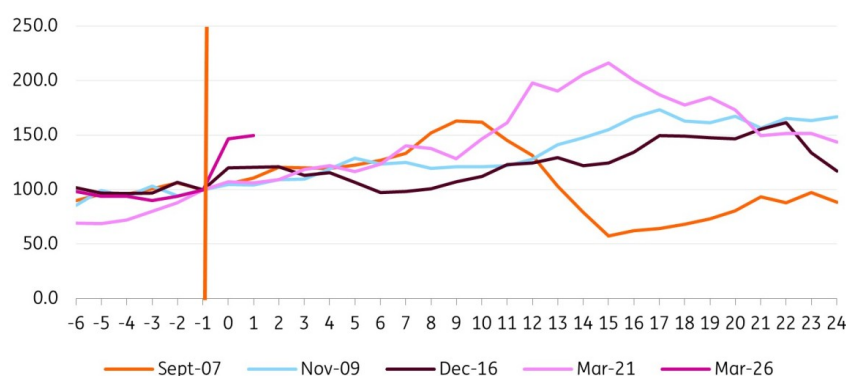
contained, or turns into a broader inflation wave. In Belgium, early signs of spillover are starting to stack up.

The initial jump in energy prices has been striking. The chart below compares recent episodes of oil shocks (here: at least +10% year on year in euro terms). It is rare to see oil rise this sharply and this quickly. As a consequence, Belgium's energy inflation swung from around -8% in January to above +12% in April.

This surge pushed Belgian headline inflation from 1.65% in March to 4% in April. Still, a broader inflation wave is not guaranteed. A violent energy shock can also curb consumption enough to limit pass through. To judge the risk, we need to look beyond headline figures.

Oil prices: the sharpest rise in 20 years

(oil price in euros during oil shocks; start of shock = 100)



Source: LSEG Datastream. Note : An oil shock is defined here as an increase of at least 10% in the price of oil in euros.

Belgium: signs of spillover

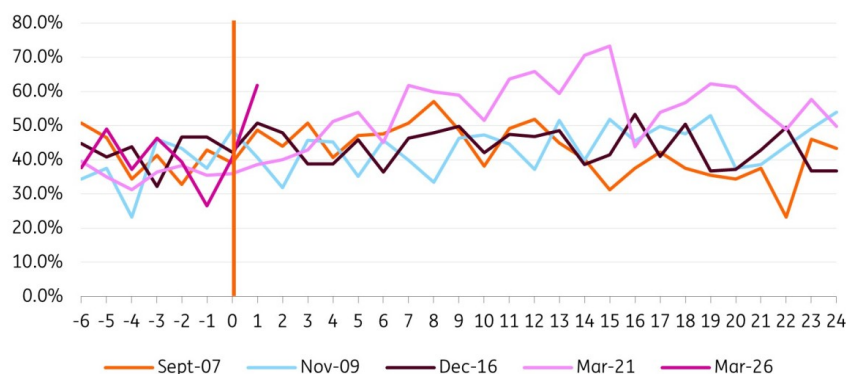
Belgium's consumer price index tracks roughly 215 categories of goods and services, each weighted by its share in household spending.

To see whether the shock is spreading, we can examine how prices move across those 215 items. In Belgium, the distribution is already shifting in a worrying direction:

- In a typical month, the price of 46% of items rises by at least 2%. That share was 39% early this year, but jumped to 51% in April.
- On a yearly basis, 24% of items usually run above 4% inflation. The share moved from 21% at the start of the year to 27% by April.
- Most telling: the share of items whose inflation rose versus the previous month. Historically, it averages 43%. It fell to 27% early this year, as a clear sign of inflation normalisation, then surged to 62% in April, a level rarely seen (chart below). During the last inflation wave, this metric led headline inflation (62% in Oct 2021; peak 73% in Jun 2022).

Low inflation early in the year made April's jump look even sharper. But it is becoming harder to argue that this is "just" energy. If April's pattern persists, and especially if it spreads across the euro area, the ECB's lesson from 2022 is clear: move early, or risk falling behind the curve again.

Share of items whose inflation increased month to month, across oil shocks



Source: Statbel. Computation: ING

Competitiveness at stake

In Belgium, inflation quickly feeds into competitiveness and public finances. Automatic indexation links wages and many benefits to prices, so inflation shocks rapidly lift labour costs and government spending. This renewed inflation will trigger nominal wage increases that were not priced in at the start of the year. Because neighbouring countries adjust more slowly, Belgium risks a short term competitiveness hit.

That said, the government had planned to tweak indexation from July. For a limited period, pay above the median wage (€4,000 gross) and benefits/pensions above €2,000 would no longer be fully indexed beyond those thresholds. The proposal satisfies neither workers, who would lose purchasing power, nor employers, who will face extra social contributions in exchange for the capped indexation system.

Unions and employers negotiated an alternative: keep automatic indexation, but smooth its timing, so wage costs adjust more gradually and competitiveness shocks are less abrupt. Despite the difficult social climate, the government has so far rejected this historic deal, arguing it would cost the public finances more in the short run than its own plan.

The timing of this new energy shock could hardly be worse: the price shock intensifies the debate over automatic indexation for most incomes, and raises the stakes for business competitiveness.

Author

Philippe Ledent

Senior Economist, Belgium, Luxembourg

philippe.ledent@ing.com

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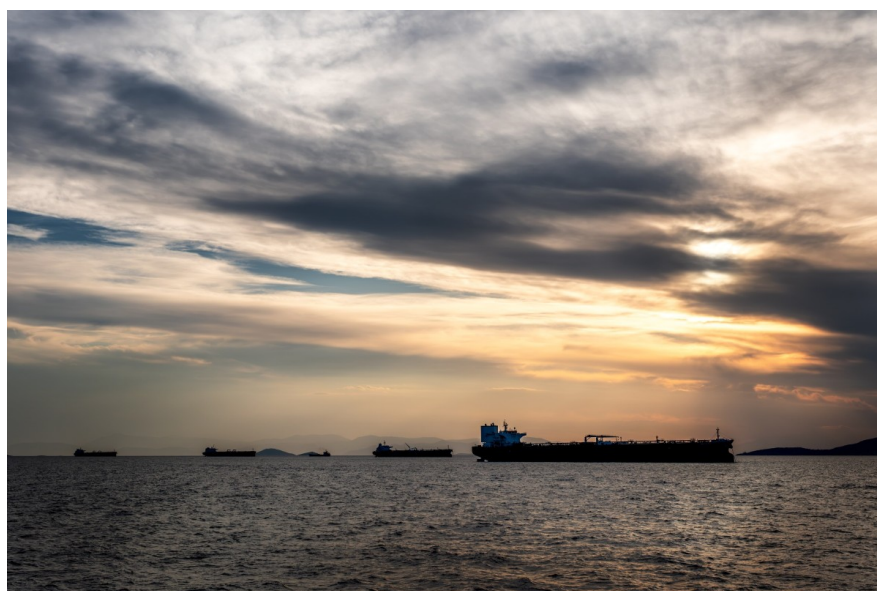
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Hormuz oil shock tilts shipping towards alternative fuels

The current oil price shock is making alternative fuels more cost competitive in the shipping sector. LNG benefits the most, becoming even more attractive compared to conventional bunker fuels. Methanol is also becoming more viable, strengthening the case for methanol-ready vessels. Still, the emissions benefits remain limited



Hormuz disruption has disrupted oil supply and pushed shipping fuel prices higher

Alternative fuels more attractive now as oil shoots higher

The Middle East conflict and blockade of the Strait of Hormuz have disrupted oil supply and pushed shipping fuel prices, like marine gas oil (MGO), sharply higher. In this environment, fuel strategy is no longer just about cost, but also about securing supply and managing price risks. At the same time, higher prices and greater uncertainty are shifting the relative economics of alternative fuels, even as regulatory progress has slowed with the delayed introduction of a global carbon price under the IMO's Net Zero Framework.

Prices for Marine Gas Oil spiked due to the closure of the Strait of Hormuz

MGO bunker prices in Rotterdam in \$ per tonne; we'll analyse two scenarios



Source: ING Research based on Refinitiv

Our modelling shows how the costs and economics of renewable fuels of non-biological origin (RFNBOs) – also called synthetic or e-fuels – change in a high oil price scenario, from a Northwest European perspective. The Middle East war has squeezed the supply of oil and oil products. LNG is similarly affected, but less so, as more capacity is coming online, and natural gas continues to be supplied through regional production and pipelines.

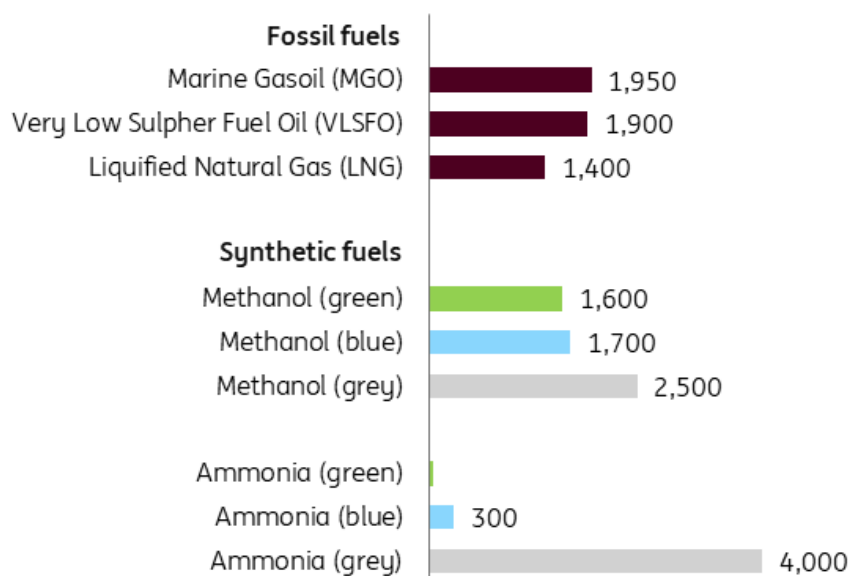
Our analysis translates the current geopolitical risk into a simple message for shipowners and cargo owners: when oil products spike and gas rises less, the relative economics of LNG and (to a lesser degree) methanol and even ammonia improve quickly, even if the absolute cost of all energy carriers rises.

Decarbonisation requires shift to lower carbon fuels

While geopolitical tensions do not alter the fundamental science behind decarbonisation, and hence emissions, they do influence the economics of the business case for different fuels. Traditional marine fuels such as marine gas oil (MGO) and very low sulphur fuel oil (VLSFO) currently generate approximately 1,900 kg of CO₂ per deadweight tonne for every 1,000 kilometres sailed. This carbon footprint can be lowered by transitioning to alternatives like LNG or synthetic fuels, like methanol and ammonia. However, meaningful climate benefits are achieved only when vessels use the green or blue variants of these synthetic fuels. Just switching to grey methanol or ammonia would only worsen the footprint to 2,500 or even 4,000 kg of CO₂.

LNG and blue and green versions of synthetic fuels can reduce carbon emissions from shipping

Indicative well to wake emissions for different shipping fuels in kilograms CO₂ per deadweight tonnage per 1,000 kilometres (kgCO₂/DWT/1,000km)



Source: ING Research

See the end of the article for a detailed explanation of the model and its underlying assumptions. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen is produced with electrolyzers powered by low-carbon electricity. A key nuance is that methanol molecules inherently contain carbon. As a result, combustion always releases CO₂, regardless of the production pathway. Even green methanol therefore leads to residual emissions at the point of use. In addition, our modelling assumes that the carbon input for methanol production is sourced from natural gas, which reflects current industry practice in Europe. We therefore do not account for potential negative emissions that could arise from alternative carbon sources such as biomass or direct air capture (DAC).

Structural changes in fuel prices can significantly influence how and when alternative solutions are adopted within the shipping industry. To assess this impact, we examine the impact of current high prices on the business case for oil and gas-based shipping fuels and synthetic fuels like methanol and ammonia. The duration of elevated fuel prices remains a subject of intense discussion and is closely tied to ongoing geopolitical developments surrounding the closure of the Strait of Hormuz, as well as the potential damage to oil and gas infrastructure in the Middle East from further conflict. You can find our most recent scenario analysis [here](#). In this article, we set aside geopolitical factors and focus solely on how sustained higher prices affect the cost dynamics of various fuels.

When oil products remain high, LNG becomes more attractive

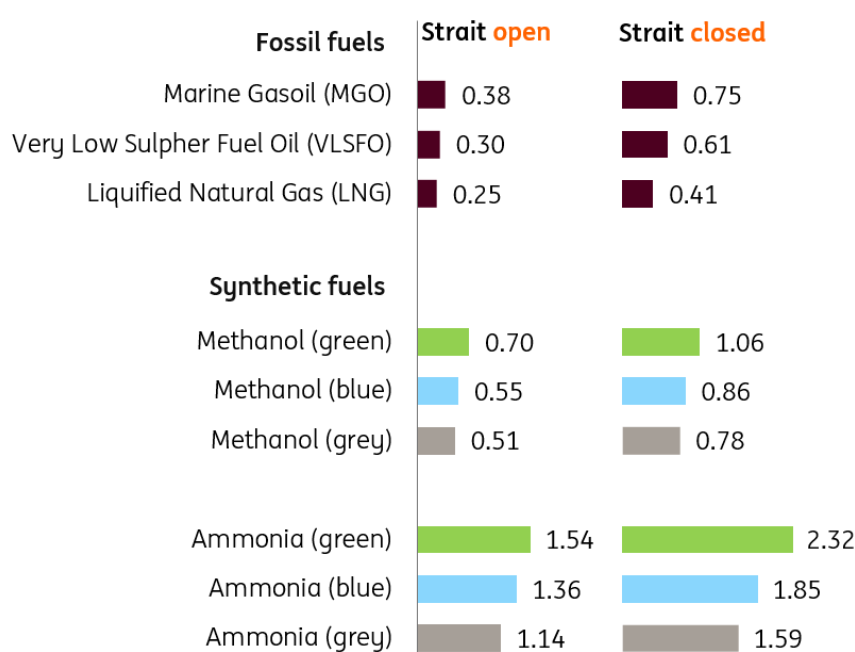
In the high-price scenario – the one most relevant under a continued Hormuz disruption – oil products become the big movers:

- MGO rises from 0.38 to 0.75 \$/DWT/1,000km (+97%)
- VLSFO rises from 0.30 to 0.61 (+103%)
- LNG rises from 0.25 to 0.41 (+64%)

The key mechanism is that the high case hits oil products harder than gas and power inputs. LNG becomes the most attractive “available now” hedge. In other words, the Hormuz-driven oil shock makes LNG not only a transitional decarbonisation option, but also commercially the most attractive option.

Hormuz disruption strengthens LNG’s position as synthetic fuels lag on cost

Indicative unsubsidised fuel costs in \$/DWT/1,000km



Source: ING research based on energy prices from Refinitiv and fossil fuel prices in shipping from Clarkson

Methanol gains traction faster than ammonia

Over the last three years, methanol has outpaced ammonia in commercial momentum in deep-sea shipping. There are four practical reasons:

1. Engine and vessel adaptation is simpler and faster. Methanol can be used in internal combustion engines with fewer “system-wide” changes than ammonia, which require more extensive redesign and new safety systems.
2. Bunkering and handling are more straightforward. Methanol is a liquid at ambient conditions, which reduces complexity compared to ammonia configurations.
3. A “ready now / ready later” option exists. Orders for methanol-capable and methanol-ready dual-fuel vessels have become a pragmatic bet: shipowners can run on conventional fuels

today and switch as low-carbon methanol supply grows. It is also a hedge against the possibility that policy pushes faster toward low-carbon fuels than infrastructure.

4. From a cost perspective, methanol is currently more attractive than ammonia.

Methanol's CO2 footprint signals a downside; only blue and green deliver progress

Methanol still contains carbon, which is emitted as CO2 when burned. This limits its CO2 reduction potential compared to ammonia, which is carbon free at the tailpipe. Only blue and green methanol deliver emission reductions relative to MGO and VLSFO and even then, the emissions reduction seems to be modest compared with LNG, at least in our framework, where methanol is currently predominantly produced from natural gas in Europe, compared to biomass (as a future green alternative), or coal (common practice in China). This matches our [earlier warning](#): synthetic fuels can increase emissions if they are produced in a non-sustainable way, because the production chain is energy-intensive and the carbon intensity of inputs dominates outcomes. The economics and climate credentials of gas-based methanol remain challenging compared to LNG, even when produced as blue or green variants.

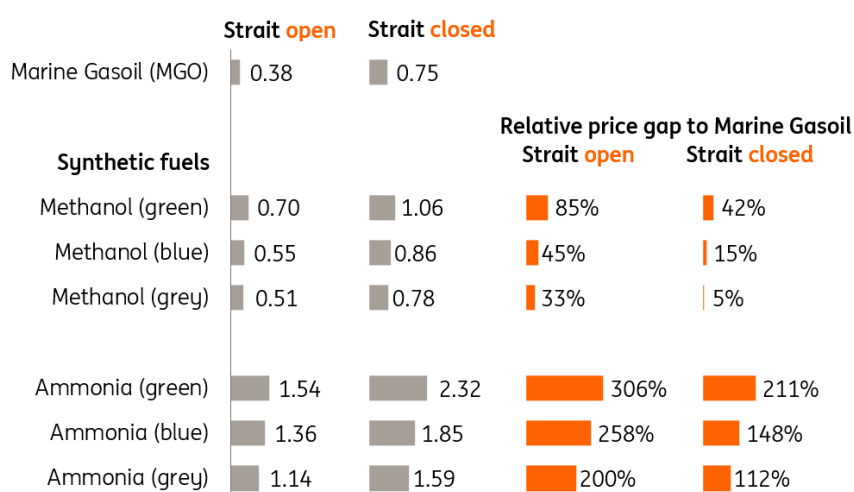
Methanol's biggest strategic value may be its optionality. When oil-product prices become more volatile, the value of being able to switch fuels - or at least switch procurement strategy - rises. That is precisely where dual-fuel capability becomes more than a decarbonisation story; it becomes a resilience story.

The oil shock narrows the methanol-oil price gap

Our model outputs show that higher prices for bunker fuels narrow the gap between methanol and marine gas oil (MGO). MGO roughly doubles in price, while methanol rises by about 50–60%. So relative competitiveness improves for methanol: while it is still more expensive, the *distance* between oil and methanol shrinks. But two important caveats remain. Oil products like MGO and VLSFO remain cheaper than blue and green methanol.

Price premium of synthetic fuels has narrowed now that oil prices are higher

Indicative unsubsidised fuel costs in \$/DWT/1,000km



Source: ING Research

Why blue methanol is probably the attractive variant

Given that the green hydrogen market is still [stuck in a pilot phase](#), blue methanol is a plausible near-term stepping stone: it scales earlier because it depends on gas plus CCS rather than small scale electrolyzers. This “blue-first, green-later” pathway is also consistent with how many heavy-industry transitions unfold: deploy the imperfect-but-better option first, then upgrade as clean technologies become cheaper and renewable power becomes more abundant.

Ammonia remains on the radar: expensive now – promising in the long run

Ammonia is expensive in its blue and green variants, but this would offer strong climate benefits and real progress in CO₂-reduction. Despite its challenging economics and inherent toxicity, market participants have not dismissed it as a viable option. The perception seems to be shifting from probably not to probably yes. But efficient usage is also a longer-term bet. Participants in the shipping sector now mostly refer to grey ammonia, which is already abundantly available for other purposes. But then again, this comes with more emissions, so it should not be viewed as a sustainable solution. However, overtime, blue and green variants could become more attractive if costs come down and carbon pricing is introduced.

LNG holds the best cards

LNG still looks like the stronger near-term route for ship owners, based on our numbers, because it combines lower emissions with lower costs compared to oil products. So, the Middle East oil supply crunch could accelerate a shift away from conventional fuels without necessarily accelerating a shift to synthetic fuels, like ammonia and methanol. It rewards the “closest substitute” that is available at scale, which is LNG.

That creates a strategic tension for the sector and for policymakers: energy security and cost pressures may drive faster adoption of LNG, while net-zero targets still require a ramp-up of truly low-carbon fuels like biofuels and synthetic fuels from blue and green production routes.

LNG vessels offer future flexibility for conversion to ammonia

While ammonia presents certain safety challenges, it holds significant long-term promise as a shipping fuel. The possibility of converting LNG-capable vessels to run on ammonia in the future enhances their strategic value, providing shipowners with greater flexibility. Investing in LNG-powered vessels is not only a cost-effective and lower-emission option in the near term, but also future-proof fleets, by allowing for a smoother transition to ammonia as technology and regulations evolve. As gas-propelled vessels, these ships can be adapted to operate on ammonia, supporting both decarbonisation goals and resilience in a changing energy landscape.

General momentum slowed amid policy headwinds

The total orderbook in global shipping also confirms that LNG leads as an alternative fuel. In May this year, 28% of the over 7,000 vessels on order are capable of running on alternative fuels, over half this share can run on LNG (15%). Methanol comes second, with particularly recent investments by several container liners.

After a post-pandemic acceleration, we saw orders for ships capable of running on alternative fuels slowed in 2025. During the second Trump administration, the United States shifted its policy and

effectively lobbied International Maritime Organization (IMO) members to oppose the adoption of global measures aimed at advancing the industry's climate ambitions and implementing a carbon pricing mechanism. Against this backdrop, companies – including frontrunners like Maersk – are still pursuing a diversified strategy and keeping their options open.

All eyes on IMO as shipping needs a global carbon price to decarbonise

The IMO's Marine Environment Protection Committee is still discussing a framework to deliver on the previously agreed net-zero target (NZF) for 2050. The proposal agreed in 2025, which has since been postponed by member states, includes a carbon price of \$100 per tonne of CO₂ for emissions within the baseline, and \$380 for non-compliance (we discussed the details [here](#)). Such a system could further narrow the cost gap with synthetic fuels and help pass additional costs along the value chain. After a year of delays, adjustments to the 2025 proposal now appear likely as stakeholders seek a compromise. However, it remains uncertain whether a final agreement will be reached.

It's important to keep in mind that shipping costs typically represent less than 5% of overall product costs that are being shipped. The high efficiency of shipping means that even if these costs increase substantially, the impact on end consumers is minimal and the price premium is barely noticeable for most products. However, this dynamic is quite different for shipping companies and charterers, which are directly affected by rising operational expenses. As such, effective policies are essential to address these challenges within the industry.

Cost, security and climate goals

In the current environment, shipping owners face significant uncertainty, as geopolitical tensions around the Strait of Hormuz continue to drive volatility in bunker fuel prices, like marine gasoil (MGO). Elevated MGO prices are narrowing the cost gap with synthetic fuels such as methanol and ammonia, at least in Europe. However, LNG stands out as the most cost-effective option, solidifying its position as the preferred fuel choice. Amid the ongoing conflict and unpredictable fuel availability, we expect shipping companies to look beyond cost considerations. Dual-fuel capabilities, diversified bunkering access, and flexible contracts that permit fuel switching are increasingly valuable strategies, especially if high prices persist. This dynamic is expected to accelerate orders for LNG, and methanol-ready vessels, supporting operational resilience while helping to future-proof fleets against further market disruptions. It may also help shipowners meet their climate targets by significantly reducing vessel emissions.

Appendix: scenario assumptions and model explainer

Two commodity price scenarios for the shipping sector from a Northwestern European perspective

Inputs	Low prices (Strait fully open)	High prices (Strait fully closed)
Gas & LNG (€/MWh)	30	50
Power (€/MWh)	75	120
CO ₂ (€/ton)	75	100
VLSFO (\$/ton)	500	1,000
MGO (\$/ton)	750	1,500

Source: ING Research

Model explainer

Indicative emissions are modelled for an 82,000 deadweight tonnage (DWT) vessel, assuming 230 sailing days per year at an average speed of 12.5 knots. The analysis adopts a full life-cycle perspective, covering both well-to-tank (fuel production) and tank-to-wake (onboard combustion) emissions.

Natural gas is assumed as the primary feedstock for grey and blue methanol and ammonia, reflecting current production in Northwest Europe. As a result, no emission reductions from biomass or Direct Air Capture (DAC) are included. While these lower-carbon sources could be deployed in future pathways, particularly for methanol, they would come at higher cost and result in lower overall emissions compared to our figures. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen comes from electrolysis powered by low carbon electricity.

For blue production routes, a CO₂ capture rate of 80% is assumed. The relatively limited electricity demand in grey and blue pathways is assumed to be met by grid power with a carbon intensity of 200 kg CO₂/MWh, broadly representative of the Netherlands and Belgium.

For green methanol and green ammonia, it is assumed that electrolyzers are fully powered by low-carbon electricity (renewables, hydro or nuclear), sourced via Power Purchase Agreements (PPAs).

Emissions are expressed per tonne-kilometre, ensuring comparability across fuels.

In addition to the assumptions underpinning the emissions' analysis, we've used different economic assumptions for a world where the Strait of Hormuz opens or remains closed. Synthetic fuel costs are modelled using different values for gas, power, carbon and marine fuel prices (see table), while an exchange rate of €1 = \$1.18 is used in both scenarios.

Hydrogen production is assumed to take place within a 50km radius of methanol and ammonia plants, with transport via pipeline. This results in hydrogen costs of €1.80/kg (grey), €2.00/kg (blue), and €4.50/kg (green) in the low price environment and €2.70/kg (grey), €3.10/kg (blue), and €6.65/kg (green) in the high price environment.

Finally, the results reflect fuel costs only and exclude vessel capex and opex, so they do not represent total cost of ownership.

Author

Gerben Hieminga

Senior Sector Economist, Energy

gerben.hieminga@ing.com

Rico Luman

Senior Sector Economist, Transport and Logistics

Rico.Luman@ing.com

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Webinar: Directional Economics CEE – who breaks, who bends on Energy Shock 2.0

Join ING's CEE economists for a live webinar on 21 May, looking at how the region copes with the 2026 oil shock. We'll also be analysing the change of government in Hungary and what can be learned from Poland's political experience, plus whether CEE central banks are about to make a policy mistake in reacting to inflation. [Sign up here](#)



The oil shock is a macro stress test for the CEE region

Source: Shutterstock

The oil shock that began in March isn't just another commodity move; it's a macro stress test for the CEE region at a time when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow.

Join ING's CEE economists for a live webinar examining the fall out on the region from higher energy prices.

You'll learn:

- Which countries entered into this shock in a better position

- Where the structural burden of high oil prices will be felt the most.
- What policy changes can and cannot do
- The spillover to the CIS economies, through external buffers and currencies

Moving away from energy and into politics, we'll also be looking at the challenges facing the new Tisza government in Hungary and what it can learn from Poland's Civic Platform which returned to power in 2023.

And we'll be wrapping up with a look across the region at whether any central bank tightening into this inflation shock would represent a policy mistake.

This webinar will follow the publication of the latest Directional Economics, complete with updated forecasts and analysis of the CEE economies.

Details

Date: Thursday 21 May

Time: 1300 BST/1400 CEST

The webinar will last 60 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Author

Valentin Tataru

Chief Economist, Romania

valentin.tataru@ing.com

Peter Virovacz

Chief Economist, Hungary

peter.virovacz@ing.com

Rafal Benecki

Chief Economist, Poland

rafal.benecki@ing.pl

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Muhammet Mercan

Chief Economist, Turkey

muhammet.mercan@ingbank.com.tr

Dmitry Dolgin

Chief Economist, CIS

dmitry.dolgin@ing.de

Adam Antoniak

Senior Economist, Poland

adam.antoniak@ing.pl

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

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Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path



The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

Global factors add to GBP term premium, but not entire story

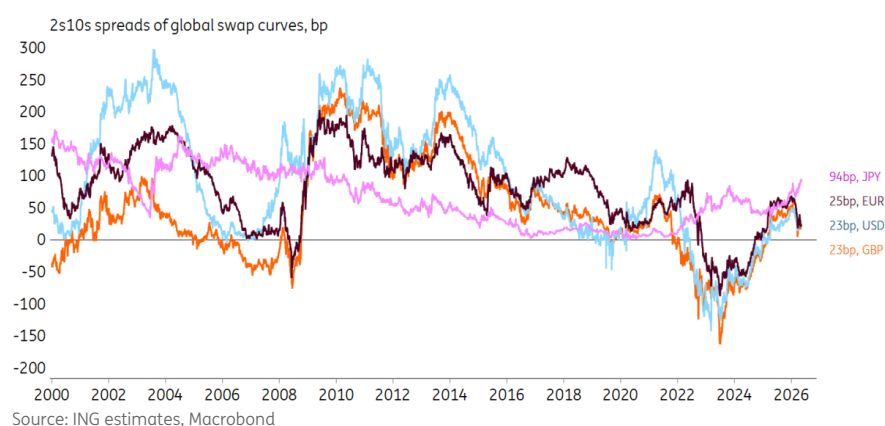
The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight.

The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

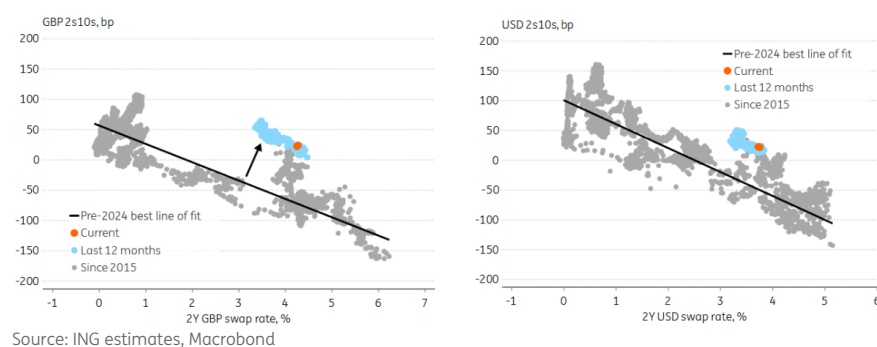
Global term premia are strongly correlated but domestic factors play a role too



Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

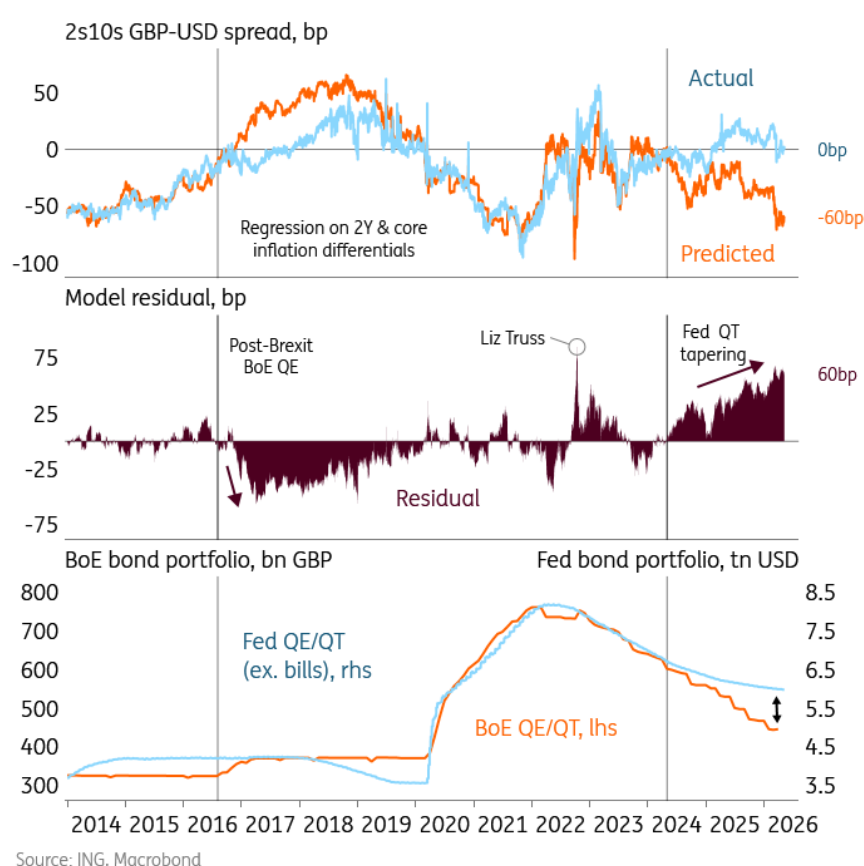
When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve



We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Liz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve

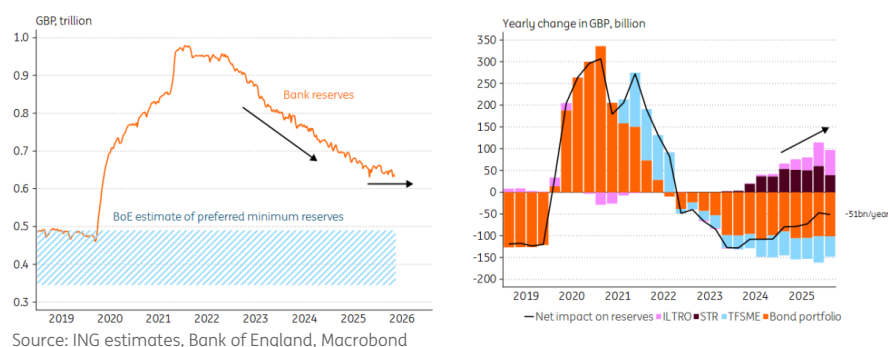


Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves

from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

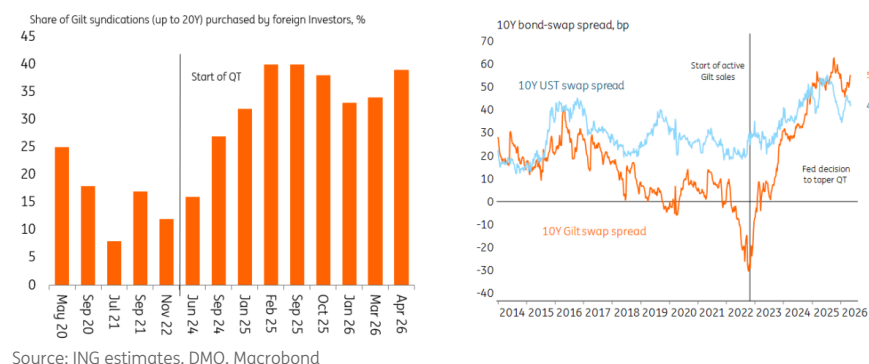
Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue



With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields



So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

Author

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

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